



Insurance and Pensions Commission (IPEC)

Pensions Report

For the Quarter Ended

31 December 2017

Disclaimer

This report does not cover the public-sector pension scheme, National Social Security Authority (NSSA). The report is based on unaudited financial statements of insured, stand-alone self-administered funds as well as self-administered funds under insurers and professional fund administrators. This report, including any enclosures and attachments, has been prepared by the Insurance and Pensions Commission solely for informative purposes to the pensions industry stakeholders, and may not be reproduced, redistributed, communicated to a third party or relied upon by any other person or for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any other purpose other than for the above mentioned intended purpose.

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Definition of Terms

Insured Funds – A fund whose contributions are used to buy assets which are registered in the name of the insurer and not the fund.

Self-Administered Funds – For the purposes of this report, self-administered funds are those under fund administrators and insurers but their assets are registered in the respective names of the funds.

Stand Alone Funds – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

Pension Fund member – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

Active members – Members of a fund who are actively contributing to the fund, including those on contribution holiday for a period of time.

Pensioner – a person in receipt of pension benefits from a pension fund.

Deferred Pensioner – A member whose pension benefits are preserved within the fund until the members attains the retirement age.

Suspended pensioner – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of his/her existence.

Members with unclaimed benefits – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

1 Industry Overview

The key performance indicators for the pensions industry as at 31 December 2017 are as shown in Table 1.

Table 1: Key Highlights of the Pensions Industry as at 31 December 2017

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	1,124	171	15	1,310
Active funds	544	135	15	694
Members ¹	127,196	121,170	330,435	578,801
Beneficiaries	0	3,829	11,302	15,131
Share of total membership	21.98%	20.93%	57.09%	100.00%
Total Income (\$)	177,815,232	313,387,408	231,271,506	722,474,146
Total Contributions (\$)	151,586,141	102,404,958	144,765,320	398,756,420
Rental Income (\$)	882,455	8,072,616	34,364,178	43,319,249
Investment Income ²	30,778,952	173,585,813	85,617,820	289,982,585
Investment Income over total assets	3.16%	12.31%	5.19%	7.19%
Total Expenditure (\$) ³	77,330,145	90,992,546	127,752,137	296,074,828
Total Benefits Incurred (\$)	70,100,349	64,815,907	89,025,725	223,941,981
Average monthly pension benefits, per pensioner (\$)	124	137	142	141
Expenses/Contributions ⁴	4.76%	22.11%	23.66%	15.59%
Average monthly expenses per member (\$)	4.73	15.56	7.21	8.41
Expenses/Total Income ⁴	4.06%	7.22%	12.36%	8.37%
Surplus(Deficit)	100,485,087	222,394,862	103,519,369	426,399,318
Total Assets (\$)	972,982,748	1,409,816,531	1,649,676,512	4,032,475,791
Average capital accumulations per member	7,649	11,635	4,992	6,967
Percentage of Total Assets	24.13%	34.96%	40.91%	100.00%
Prescribed Assets (\$)	87,929,209	134,617,137	61,809,465	284,355,811
Prescribed Assets Ratio	9.04%	9.55%	3.75%	7.05%
Contribution Arrears (\$)	51,157,441	75,769,314	473,385,240	600,311,994

Notes :

1. Total membership excludes fund beneficiaries (widows and orphans of members).
2. Total Investment income is made up of rental income, dividends, interest on investments, profit on disposal on assets and fair value gains.
3. Total Expenditure for the industry includes benefits incurred.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves.

The pensions industry had 1,310 registered private occupational pension funds as at 31 December 2017, a decrease of 12 funds from 1,322 reported as at 30 September 2017. The decrease was mainly due to data sanitisation in respect of insured funds after the training seminar held by the Commission before the submission of the returns. The industry was composed of 1,261 defined contribution schemes and 49 defined benefit schemes.

1.1 Membership

The pensions industry's membership decreased from 581,220 as at 30 September 2017 to 578,801 as at 31 December 2017. The decrease in membership was mainly attributable to exits from pension funds.

The quarterly breakdown of membership for the year ended 31 December 2017 is shown in Table 2 below.

Table 2: Quarterly breakdown in membership for the year ended 31 December 2017

Indicator	Number of Members as at			
	31 March 2017	30 June 2017	30 September 2017	31 December 2017
Actives	364,836	390,885	394,140	356,077
Pensioners	40,190	29,506	31,098	30,096
Deferred Pensioners	116,140	114,878	116,185	123,251
Suspended Pensioners	16,458	18,279	16,287	16,713
Unclaimed Benefits	22,904	23,711	23,510	52,664
Total	560,528	577,259	581,220	578,801

Trends in membership growth...

As shown in Table 2 above, there was a 9.66% change in the number of active members from 394,140 members as at 30 September 2017 to 356,077 members as at 31 December 2017. The decline in number active members was mainly a result of the reclassification of members from 'active' to 'unclaimed benefits' by stand-alone pension funds, as well as the withdrawal of members from employment.

On account of the above-mentioned reclassification of membership classes, the number of members with unclaimed benefits increased from 23,510 members as at 30 September 2017 to 52,664 members as at 31 December 2017.

There was also an increase in the number of deferred pensioners, from 116,140 as at 31 March 2017 to 123,251 as at 31 December 2017, a 6.12% increase. The increase in the number of deferred pensioner may indicate an increase in the number of members who left employment during the year ended 31 December 2017.

Membership composition...

As at 31 December 2017, the membership of the pensions industry was mainly composed of active members, who totalled 356,077 and constituted 61.52% of the industry's total membership. In contrast, Pensioners and suspended pensioners accounted for a combined 8.09% of the total membership as at 31 December 2017.

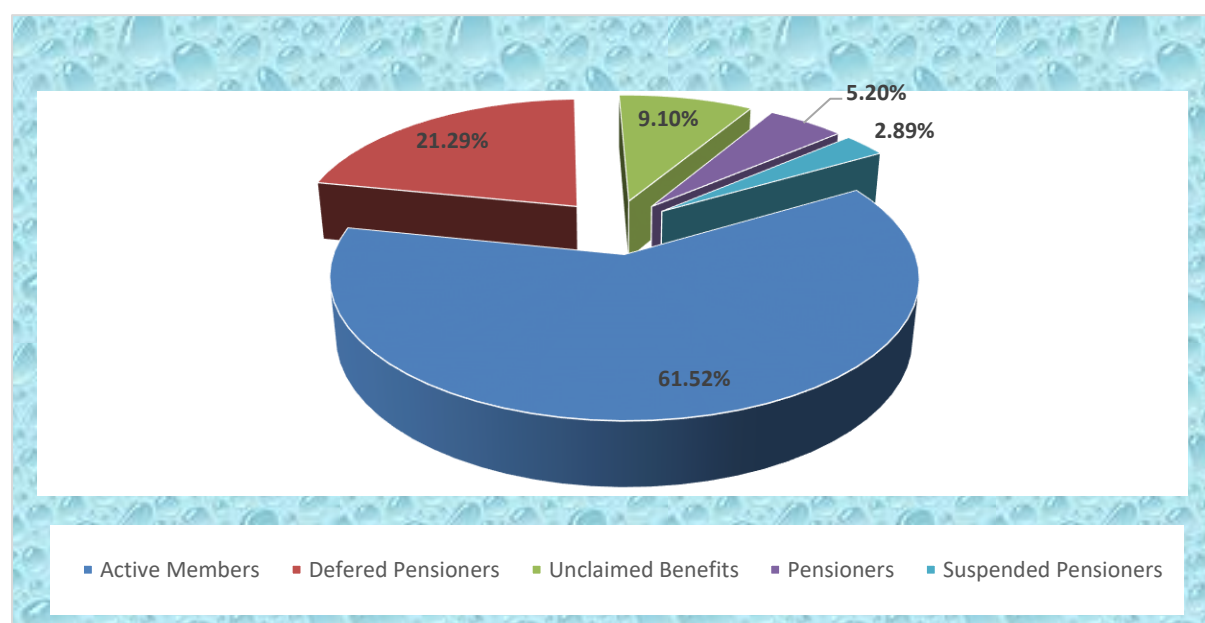
The relatively low percentage of pensioners may be due to some pensioners buying annuities from life assurance companies. The annuity recipients were not reported as pensioners. The number of pensioners may also be an indication of a young Zimbabwean population.

In addition, the low level of pensioners is also attributable to full commutation of benefits on retirement. This is on account of retirement benefits not being adequate to purchase pensions. Currently, there is a provision which allows full commutation where retirement benefits are not adequate to purchase a pension of \$600.00 per annum after the one third commutation.

The Commission was greatly concerned with the number of members with unclaimed benefits, totalling 52,664 and attributable to 9.10 % of total membership as at 31 December 2017. This number was deemed to be a reflection of poor membership data management and poor communication with members by pension funds. The Commission has intensified awareness campaigns as an initiative to deal with the issue.

The composition of membership by class as at 31 December 2017 is shown in Figure 1 below.

Figure 1: Membership composition as at 31 December 2017



1.2 Asset Quality

Total assets for the pensions industry amounted to \$4.03 billion as at 31 December 2017, reflecting a decrease of 6.50% from the \$4.31 billion reported as at 30 September 2017. The decline in total assets was mainly a result of a shrinkage in equity investments from \$1.83 billion as at 30 September 2017, to \$1.46 billion as at 31 December 2017. The shrinkage in equity investment was mainly a result of the decrease in equity prices on the Zimbabwe Stock Exchange during the quarter under review, which followed after the “bull run” that took place during the third quarter.

The trend in the growth of the asset base from the end of the first quarter to the end of the fourth quarter of 2017 is shown in figure 2 below.

Figure 2: Trend in asset base



The total assets translated to an industry average capital accumulation per member of \$6,967 as at 31 December 2017. The average capital accumulation per member was lower than the \$7,445 per member reported as at 30 September 2017. The decline in the average capital accumulation was due to the afore-mentioned decline in total assets.

Of the total assets, \$2.51 billion was invested in property and equities combined. The two long-term asset classes accounted for 62.28% of the total assets. The proportion attributable to equities and properties was considered to be in line with the risk profile of the industry, with 61.52% of the members being active and generally requiring a long-term investment horizon to match their liability profile.

Notwithstanding the observation mentioned above, the Commission bemoans the lack of diversity in the capital markets in Zimbabwe. The lack of diversity makes the industry vulnerable to inherent weaknesses of investments in equities and property, such as market risk and liquidity risk respectively.

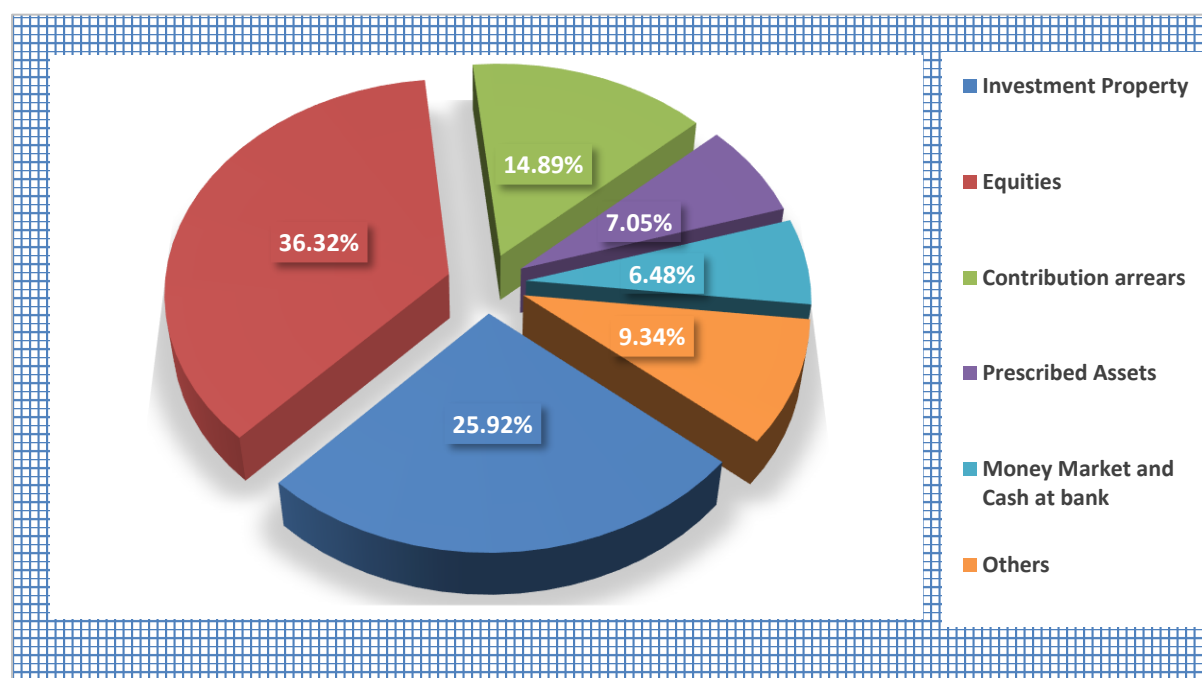
In addition, \$600.31 million, accounting for 14.89% of the asset base was tied up in contribution arrears. The contribution arrears figure increased from the \$556.64 million reported as at 30 September 2017 due to correction to reported figures by insurers after the IPEC training seminar. The high level of contribution arrears compromises the asset quality and liquidity of pension funds due to the arrears not being available to fund day-to-day operations of pension funds.

Stand-alone funds reported \$473.39 million of the contribution arrears, accounting for 78.86% of total contribution arrears. Among the stand-alone pension funds, the contribution arrears were mainly concentrated in three funds. The three pension funds accounted for a combined 77.74% of total contribution arrears for stand-alone funds and 69.30% of contribution arrears for the pensions industry. Self-administered and insured pension funds accounted for 12.62% and 8.52% of the contribution arrears respectively.

The Commission is encouraging trustees and administrators to create strategies for the repayment of arrears and possibly amortise them over a long-term period.

The distribution of the industry's asset base is shown in figure 3 below.

Figure 3: Distribution of Total Assets for the Pensions Industry



The pensions industry reported \$284.36 million invested in prescribed assets as at 31 December 2017. This translated into a prescribed asset ratio of 7.05%, which compared favorably with the 6.03% reported as at 30 September 2017. Although, the prescribed asset ratio improved during the quarter under review, it was still below the regulatory minimum of 10% for pension funds.

1.3 Liabilities

The industry's liabilities were mainly composed of reserves and provision for members' benefits, which totalled a combined \$3.83 billion, attributable to 95.04% of the \$4.03 billion total liabilities for the industry as at 31 December 2017.

The industry reported arrear pension benefits of \$84.39 million as at 31 December 2017. The arrear pension benefits liabilities decreased from the \$92.57 million reported as at 30 September 2017. The arrear pension benefits were mainly on account of contribution arrears and assets that are locked up in immovable property that are not readily available to meet pension benefits.

Stand Alone funds accounted for 93.56% of the arrear pension benefits as at 31 December 2017. The arrear pension benefits for stand-alone funds was mainly attributable to three funds. The three funds had arrear pension benefits of \$57.25 million, \$19.01 million and \$6.22 million respectively, attributable to 91.81% of the pensions industry's total arrear pension benefits. The Commission is monitoring the funds to establish the root cause of the problem, as well as ensuring that member rights are not being infringed. For more information, see annexures 2 and 8.

Unclaimed benefits liabilities increased from \$25.70 million as at 30 September 2017, to \$28.03 million as at 31 December 2017. The increase was mainly due to the afore-mentioned sanitisation of data by pension funds which resulted in some members previously reported as active being classified as members with unclaimed benefit during the quarter under review. The Commission is encouraging funds to come up with strategies for improving data integrity to reduce cases of unclaimed benefits.

1.4 Earnings

Total income for the industry amounted to \$722.47 million for the year ended 31 December 2017. The total income was mainly made up of contributions and fair values gains in equity, which amounted to \$398.76 million and \$139.08 million respectively for the period under review. The two income streams contributed a combined 74.44% of total income.

Total expenditure for the period under review amounted to \$296.07 million, resulting in a net surplus of \$426.70 million. Total benefits incurred amounted to \$233.94 million, translating to 75.64% of total expenditure incurred during the reporting period.

The pensions industry reported total administration expenses of \$72.13 million. The administration expenses translate to an average expense ratio of 15.59% and 8.37% based on total contributions and total income respectively (please note that the calculations exclude benefits paid, expenses related to disposal of assets, revaluations, and transfer to reserves and provisions). The expense ratios were deemed to be high and the Commission will come up with a policy position to address the high expense ratios.

2 INSURED SCHEMES

2.1 Industry Architecture

As at 31 December 2017, there were 6 life assurers insuring pension funds. The total number of insured pension funds at the same date was 1,124, a decrease of 13 funds from the 1,137 funds reported as at 30 September 2017. The decline was mainly due to correction of reports by insurers, which had included group life assurance schemes as part of insured funds on previous quarter returns. The number of pension funds under the different insurers is as at 30 September 2017 and 31 December 2017 is shown in Table 3 below:

Table 3: Breakdown of Insured Schemes by Insurer

Life Assurer	Number of Insured Funds	
	30 September 2017	31 December 2017
1. CBZ Life	-	2
2. Fidelity Life	71	71
3. First Mutual Life	193	183
4. Old Mutual Life	551	551
5. ZB Life	154	152
6. Zimnat Life	168	165
Total	1,137	1,124

2.2 Membership

The total membership for insured schemes as at the 31 December 2017 was 127,196 members. This was slightly lower than the 127,942 members reported as at 30 September 2017. The breakdown of the membership for insured funds as at 30 September 2017 and 31 December 2017 is shown in Table 4 below.

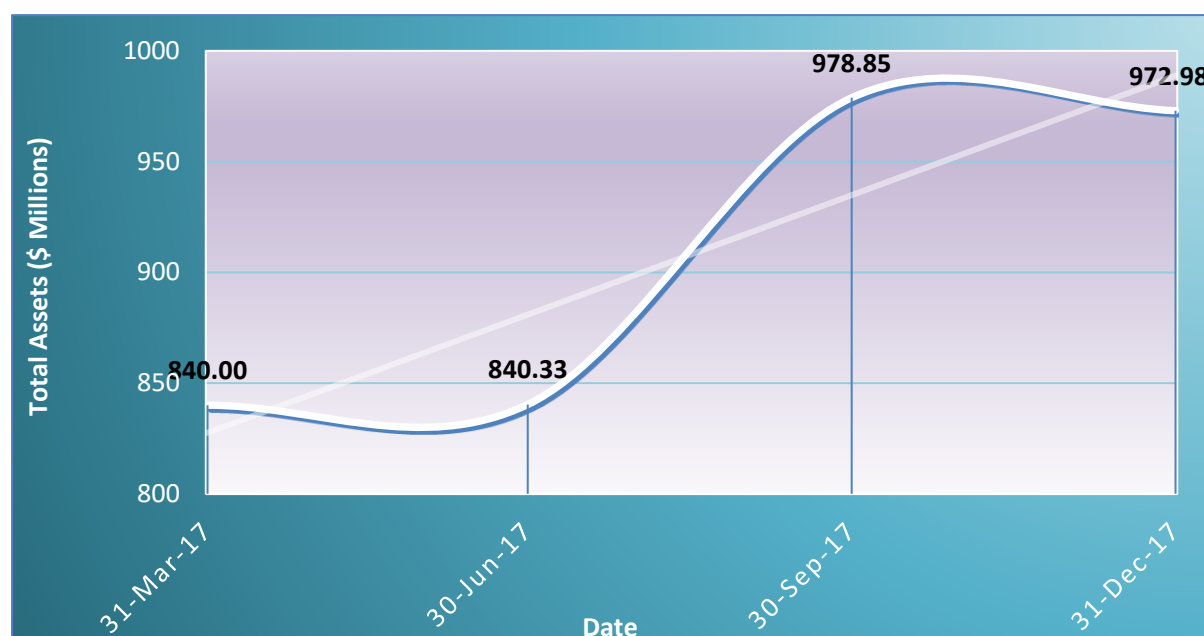
Table 4: Insured Funds Membership

Membership Class	Number of Insured Schemes as at	
	30 September 2017	31 December 2017
New Entrants	1,399	2,742
Active Members (Excluding New Entrants)	119,017	116,402
Deferred Pensioners	2,730	4,733
Members with Unclaimed Benefits	4,785	3,314
Others	11	5
Total Membership	127,942	127,196

2.3 Asset Quality

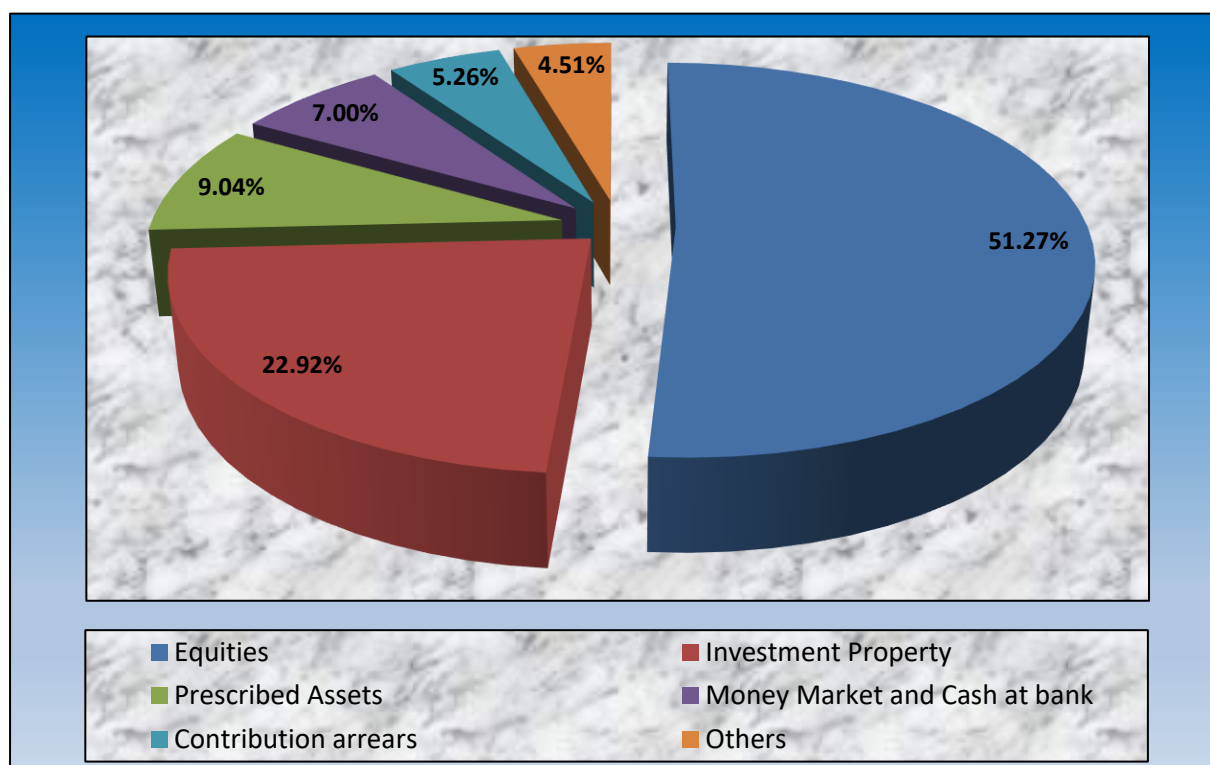
Total assets for the insured schemes decreased marginally from \$978.85 million as at 30 September 2017 to \$972.98 million as at 31 December 2017. The asset base as at 31 December 2017 translated to an average capital accumulation of \$7,649 per member.

The trend of asset growth from 31 March 2017 to 31 December 2017 is shown in figure 4 below.

Figure 4: Trend in asset growth during the year ended 31 December 2017

Investment property and equities accounted for a combined 74.19% of the total asset base as at 30 September 2017. The remaining 25.81%, representing \$185.68 million of the total assets for insured funds, was invested in various asset classes. The distribution of total assets as at 31 December 2017 are shown in Figure 5 below.

Figure 5: Distribution of Total Assets for Insured Funds



As depicted in figure 5 above, insured funds had \$87.93 million of their assets invested in prescribed assets, which translates to 9.04% of the total asset base as at 31 December 2017. This was lower than the \$93.29 million reported as at 30 September 2017, and below the 10% regulatory threshold and the Commission is considering taking regulation against non-compliant entities.

2.4 Earnings

Insured schemes reported total income amounting to \$177.82 million for the year ended 31 December 2017. The income was driven by contributions totaling \$151.59 million, attributable to 85.25% of the total income for insured funds. On the other hand, total expenditure including benefits for insured funds for the same period was \$77.33 million, resulting in a surplus position of \$100.49 million.

The total benefits incurred totaled \$67.07 million for the 12 months ended 31 December 2017, accounting for 92.51% of total expenditure for the same period.

Insured funds reported average expense to contribution and expense to total income ratios of 4.76% and 4.06% respectively for the 12 months under review. The Income Statements for Insured Schemes are shown on Annexure 3.

3 SELF-ADMINISTERED FUNDS

3.1 Industry Architecture

As at 31 December 2017, there were 5 operational administrators and 5 life assurers administering self-administered pension funds. The administrators and insurers were administering 171 registered self-administered funds. The spread of the funds amongst the administrators and insurers as at 31 December 2017 is shown in Table 5 below;

Table 5: Number Self-Administered Funds

Name of Administrator/Insurer*	Number of Funds
Professional Administrators	
1. Capitol Insurance Brokers	1
2. Comarton Consultants	29
3. Marsh Employee Benefits	44
4. Minerva Benefits Consulting	56
5. Zimbabwe Insurance Brokers	5
Sub-total	135
Life Companies	
1. Fidelity Life Assurance Company	1
2. First Mutual Life Assurance Life Company	5
3. Old Mutual Life Assurance Company	26
4. Nyaradzo Life Assurance Company	2
5. Zimnat Life Assurance Company	2
Sub-total	36
Grant Total	171

*Not all registered life offices (life assurance companies) are involved in pension administration.

3.2 Membership

The total membership for self-administered funds decreased from 126,781 reported as at 30 September 2017 to 121,170 as at 31 December 2017. The decline was mainly a result of exits from pension funds, who totalled 7,136 members as at 31 December 2017. The distribution of membership according class as at 30 September 2017 and 31 December 2017 is detailed in table 6 below.

Table 6: Self-Administered Funds Membership

Membership Class	Number of members as at...	
	30 September 2017	31 December 2017
New Entrants	1,610	3,056
Active Members (Excluding New Entrants)	95,182	87,003
Pensioners	8,094	6,941
Deferred Pensioners	11,922	13,393
Suspended Pensioners	2,717	3,456
Members with Unclaimed Benefits	7,256	7,321
Total Membership	126,781	121,170

3.3 Asset Quality

The total assets for self-administered pension funds shrank by 12.98% from \$1.62 billion reported as at 30 September 2017 to \$1.41 billion as at 31 December 2017. The decrease in the asset base for the sector was mainly due to a reduction in the value of equities investments from \$960.81 million as at 30 September 2017 to \$731.14 million as at 31 December 2017. The decline was a result of the downward spiral on the Zimbabwe Stock Exchange during the quarter under review.

Long-term investments, in the form of equities and investment properties totaled \$972.11 million and accounted for a combined 68.95% of the total assets as at the reporting date. This may be in line with the long-term nature of the pensions industry.

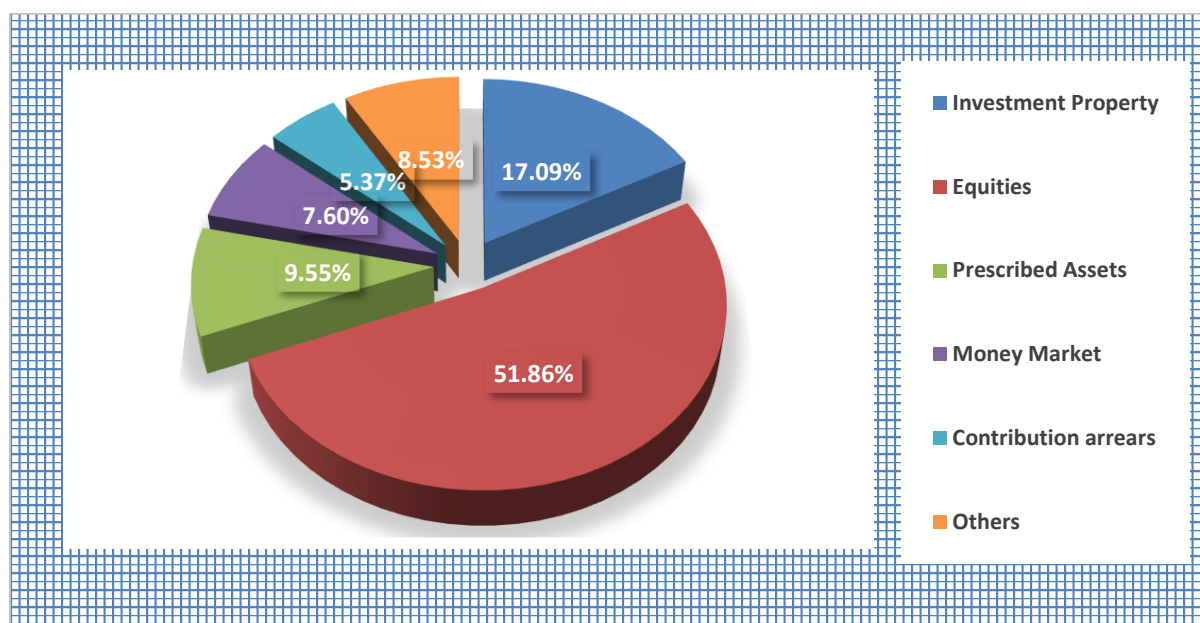
The total asset base of \$1.41 billion translates to an average capital accumulation of \$11,637 per member. The average capital accumulation as at 31 December 2017 was 10.58% lower than the \$13,014 per member reported as at 30 September 2017.

Self-administered funds' investment in prescribed assets increased by 17.56% from \$114.51 million as at 30 September 2017 to \$134.62 million as at 31 December 2017. The prescribed asset ratio also increased by 248 basis points, from 7.07% as at 30 September 2017 to 9.55% at the end of the period under review. The increase in the prescribed asset ratio may be due to the increase in investment in prescribed assets, as well the decline in the total asset base for the sector.

The sector reported contribution arrears of \$75.77 million, which accounted for 5.37% of total assets. Though the proportion of total assets in contribution arrears is relatively small, trustees must ensure that there are strategies to amortise the arrears.

Figure 6 below shows the distribution of self-administered funds' assets as at 31 December 2017. See Annexure 6, the Consolidated Statement of Financial Position for more details.

Figure 6: Distribution of Total Self-Administered Fund Assets



3.4 Liabilities

The liabilities for self-administered funds were mainly composed of reserves for member accumulations, which amounted to \$1.36 billion. The reserves accounted for 96.68% of the \$1.41 billion total assets. Arrear pension benefits were \$5.32 million as at 31 December 2017, a 33.37% decline from the \$7.98 million reported as at 30 September 2017. The Commission commends the efforts made by trustees and administrators to reduce the pension benefit arrears.

The unclaimed benefits liability amounted to \$9.87 million as at 31 December 2017. There is need for trustees and administrators to locate the members with unclaimed benefits or remit the assets related to the members to the Guardian Fund at the expiration of the prescribed 5-year period. See Annexure 6 for a detailed breakdown of self-administered funds' liabilities.

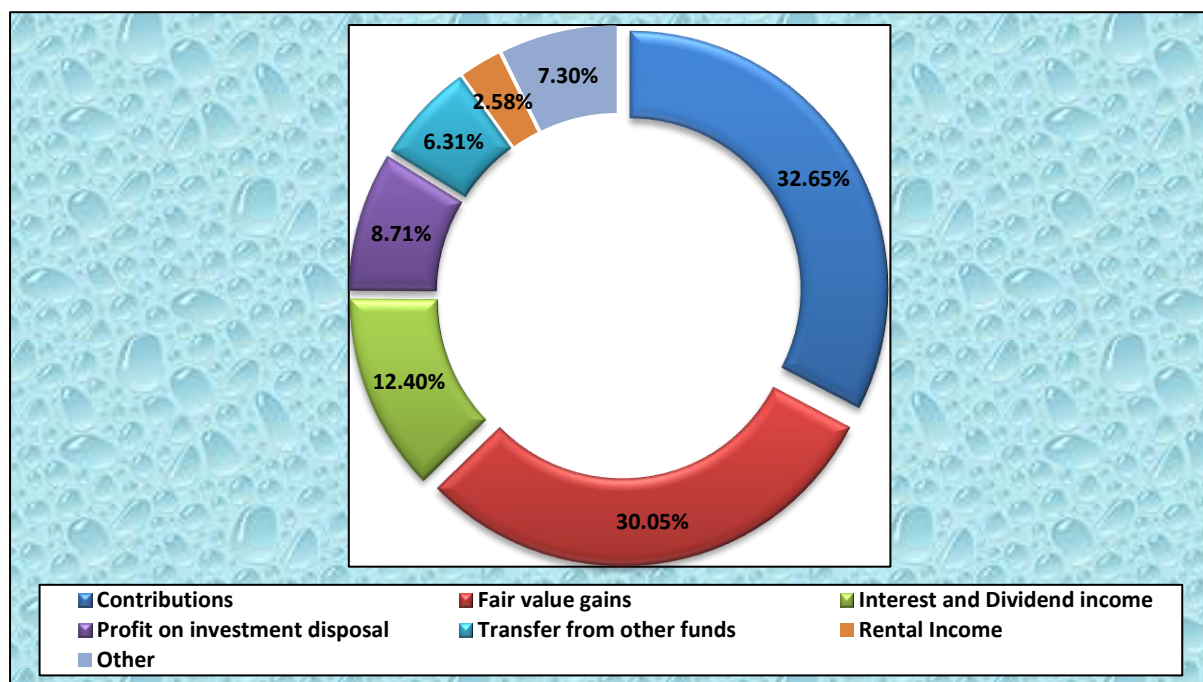
3.5 Earnings

Self-administered funds' reported total income of \$313.39 million for the year ended 30 December 2017. The total income was mainly driven by contributions and fair value gains on equities. The two income streams accounted for a total of \$196.49 million, attributable to 62.70% of the total income for the year ended 31 December 2017. It is important to note that fair value gains income shrank from the \$427.09 million reported as at 30 September

2017 to \$94.18 million as at 31 December 2017. The decline was due to losses in the value of equities on the Zimbabwe Stock Exchange during the last quarter of the year ended 31 December 2017.

The composition of total income for the 12 months ended 31 December 2017 is shown in Figure 7 below.

Figure 7: Composition of Total Income for Self-Administered Funds

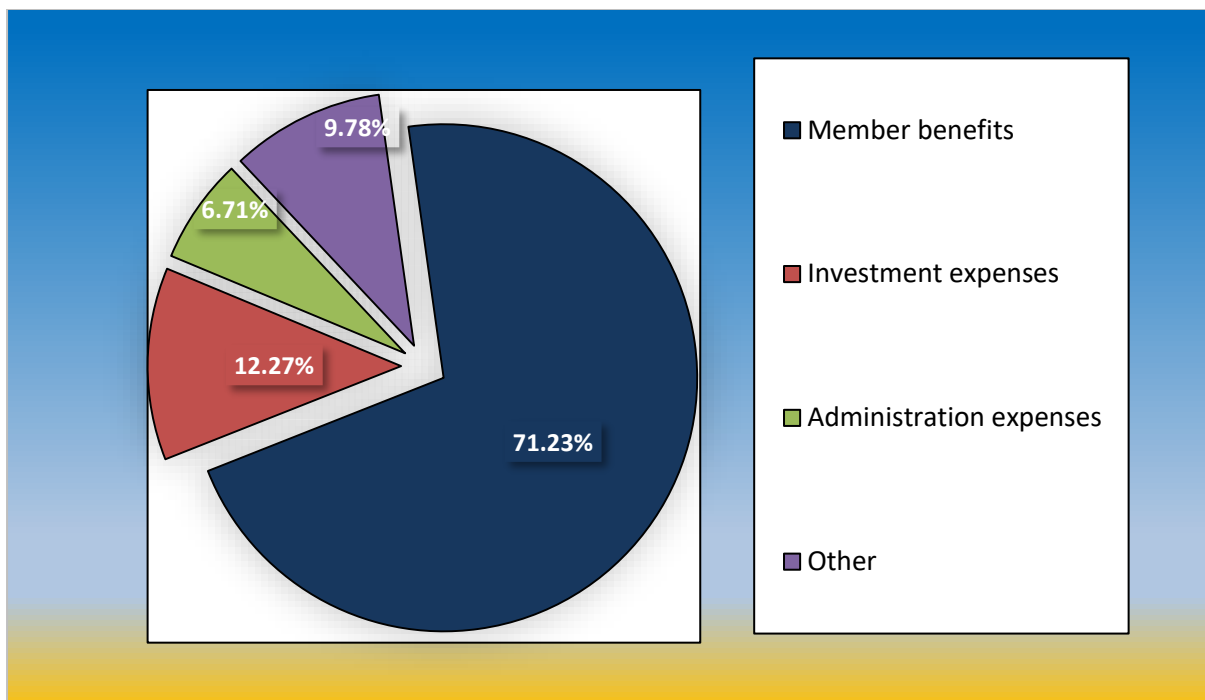


Other income, totaling \$17.71 million, accounted for 5.65% of the total income for self-administered funds. The other income was mainly composed of \$16.21 million special contributions by employers, reinsurance recoveries, premium refund benefits and other minor income streams.

Total expenditure amounted to \$90.99 million resulting in surplus income of \$222.39 million for the year ended 31 December 2017. A total of \$64.82 million was incurred in respect of benefits to members for the same period. Total benefits incurred were 20.68% of total income and 63.29% of contributions respectively.

On the other hand, total expenses, excluding benefits incurred, amounted to \$26.18 million for the year ended 31 December 2017. This translated to an expense ratio of 7.22% and 22.11% of total income and total contributions respectively. The breakdown of the total expenditure for the period under review is shown in Figure 8 below. The figure shows that 71.23% of the total expenditure was incurred in the payment of benefits to the members. Other expenses consist of property, audit, actuarial expenses and losses on disposal of assets amongst other fund expenses. See Annexure 5 for more details.

Figure 8: Self-Administered Funds Expenditure Breakdown



4 STAND ALONE PENSION FUNDS

4.1 Overview of Stand Alone Funds Sector

There were 15 stand-alone pension funds as at 31 December 2017. As at the same date, the sector had 12 defined contribution schemes and 3 defined benefit schemes, namely Communication and Allied Industries Pension Fund, Local Authorities Pension Fund and NRZ Pension Fund.

4.2 Membership

The total membership increased from 326,497 members reported as at 30 September 2017 to 330,435 members as at 31 December 2017. The increase in membership was mainly due to new entrants reported by Catering Industry Pension Fund, Construction Industry Pension Fund and Mining Industry Pension Fund. The three funds accounted for 75.71% of the 7,086 new entrants as at 31 December 2017.

Due to reclassification of members who had not contributed to one particular fund from the dollarisation of the Zimbabwean economy from 'active members' to 'members with unclaimed benefits', there was an 18.96% shrinkage in active members from 172,501 members as at 30 September 2017 to 139,788 members as at 31 December 2017. There was also a 266.46% increase in the number of members with unclaimed benefits from 11,469 members as at 30 September 2017 to 42,029 members as at 31 December 2017.

The distribution of membership by class in the sector as at 30 September 2017 and 31 December 2017 is shown in table 7.

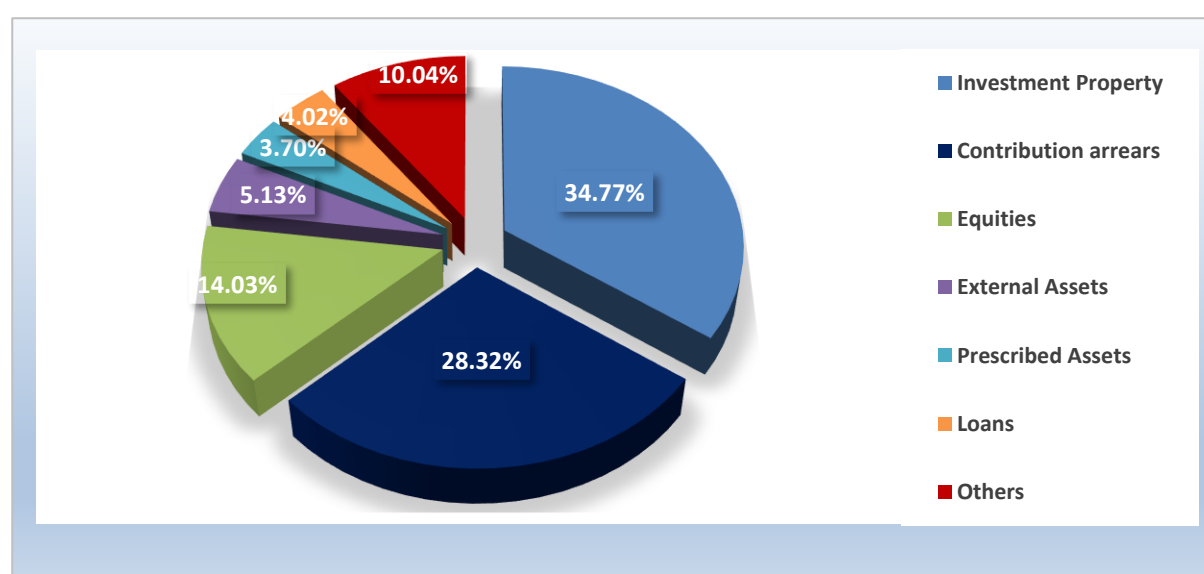
Table 7: Membership Statistics for Stand-Alone Pension Funds.

Membership Category	Number of Member as at	
	30 September 2017	31 December 2017
New entrants	4,431	7,086
Active members	172,501	139,788
Pensioners	22,999	23,150
Deferred Pensioners	101,533	105,125
Suspended Pensioners	13,564	13,257
Unclaimed benefits	11,469	42,029
Totals	326,497	330,435

4.3 Asset Base

Total assets of the stand-alone pension funds decreased by 3.51% from \$1.71 billion reported as at 30 September 2017, to \$1.65 billion as at 31 December 2017. The decline was mainly due to a shrinkage in the fair value of quoted equities from \$260.53 million as at 30 September 2017 to \$207.83 million as at 31 December 2017.

The asset base as at 31 December 2017 translated to an average asset accumulation of \$4,992 per member. The distribution of assets for Stand Alone pension funds as at 31 December 2017 are illustrated in Figure 9 below. See Annexure 8 for further details

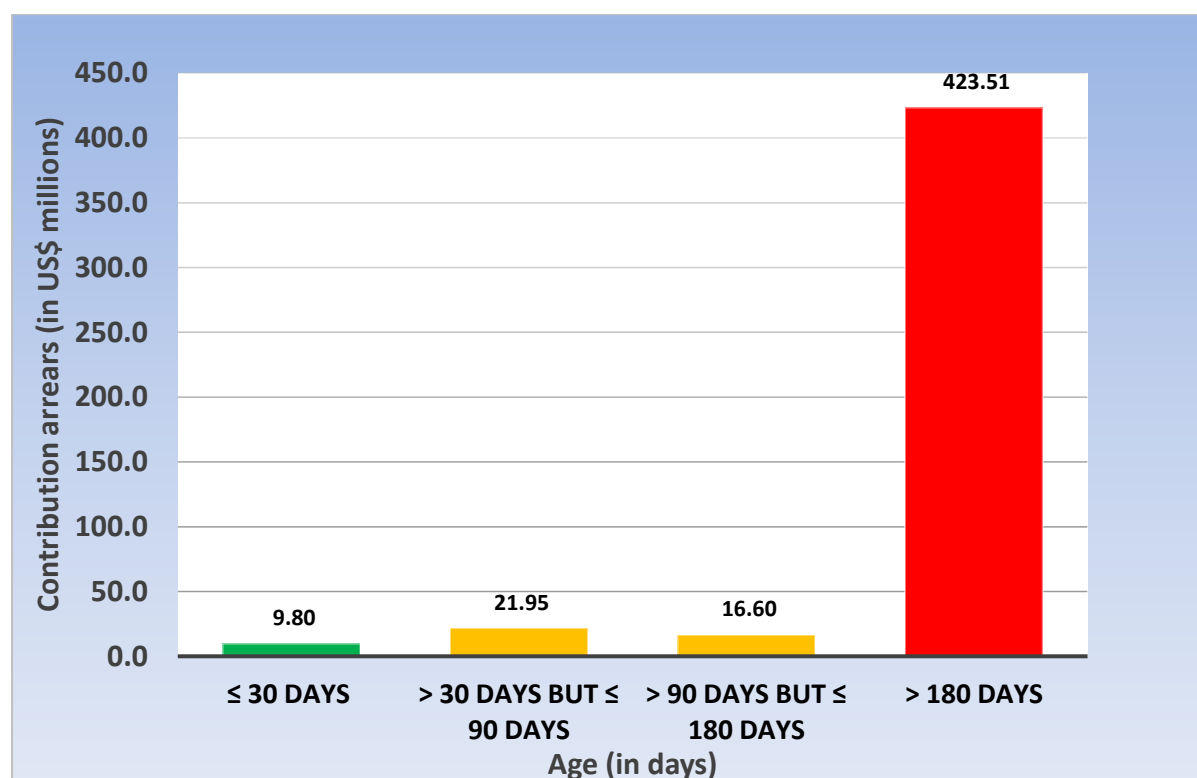
Figure 9: Distribution of Assets for Stand Alone Funds

The sector reported \$473.39 million contribution arrears (including interest on the same), constituting 28.32% of the total assets as at 31 December 2017. Contribution arrears increased from the \$469.98 million reported as at 30 September 2017. The increase may be an indication that employers were deducting contribution from members' earnings without remitting to the pension funds. The Commission encourages trustees to report non-remittance of contributions to funds by sponsoring employers to the Commission as required by Section 7(a) of Statutory Instrument 243 of 2006.

It is also of concern that 89.46% the contribution arrears were aged more than 180 days. There is need for trustees to explore measures of amortizing the arrears. Furthermore, stand-alone funds had rental arrears totaling \$45.21 million as at 31 December 2017.

The age analysis for contribution arrears, including interest on the same is shown in figure 10 below.

Figure 10 : Contribution arrears age analysis



As at 30 September 2017, stand-alone funds had \$51.97 million invested in prescribed assets, translating to 3.04% of the total assets. This was below the regulatory requirement of 10%. The Commission is penalising all non-compliant funds.

4.4 Liabilities

Though the liabilities of stand-alone pension funds were generally matching the assets of \$1.65 billion stated above, arrear pension benefits and unclaimed benefits were of concern to the Commission. Stand-alone funds reported arrear pension benefits of \$78.96 million, a 6.65% decrease from the \$84.59 million reported as at 30 September 2017. The decline in the arrear pension benefits may indicate that some pensioners with arrears as at 30 September 2017 were paid during the quarter under review.

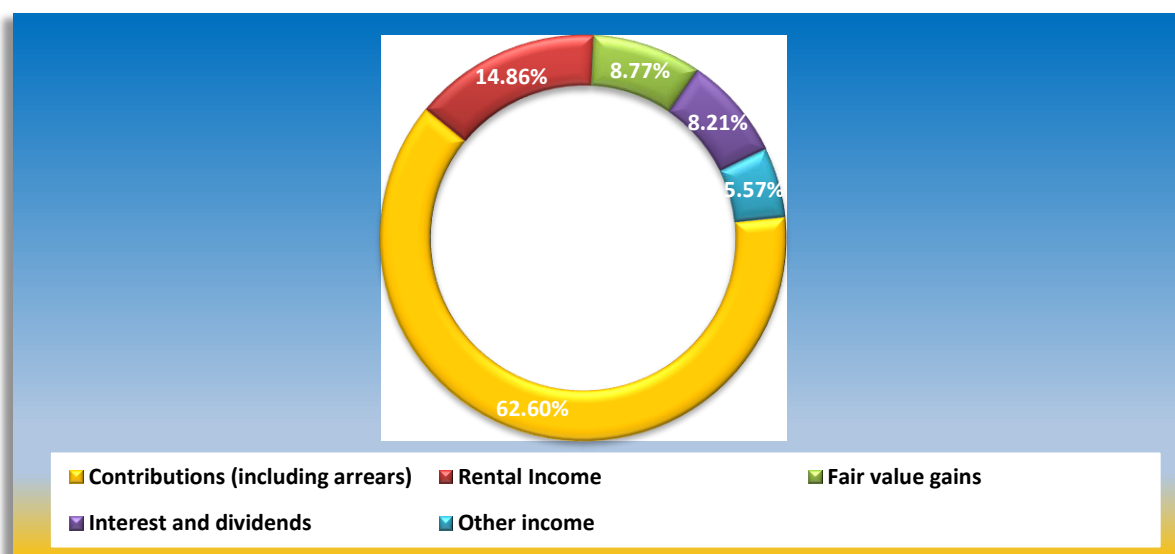
The sector reported unclaimed benefits of \$18.15 million as at 31 December 2017. The amount of unclaimed benefits increased from the \$17.23 million reported as at 30 September 2017. Note that \$9.52 million, attributable to 52.46% of the \$18.15 million unclaimed benefits liabilities pertain to members of Mining Industry Pension Fund. Efforts are being made by the fund to locate the affected members.

See Annexure 8 for a detailed breakdown of Stand Alone pension funds' liabilities.

4.5 Earnings

Stand-alone self-administered funds reported total income of \$231.27 million for the year ended 31 December 2017. The total income was mainly composed of contributions and rental income which accounted for a combined 77.46% of the total income. The composition of the total income for the 12 months ended 31 December 2017 is shown in Figure 11 below. See Annexure 7 for further details.

Figure 11 : Income Distribution for Stand Alone Funds



A total of \$127.75 million, accounting for 55.24% of total income, was utilised to meet fund expenses, including pension benefits. The breakdown of the total expenditure for stand-alone pension funds for the 12 months ended 31 December 2017 is shown in Figure 12 below. The detailed Statements of comprehensive Income are shown on annexure 7.

Figure 12 : Expenditure Distribution for Stand-Alone Self-Administered Funds

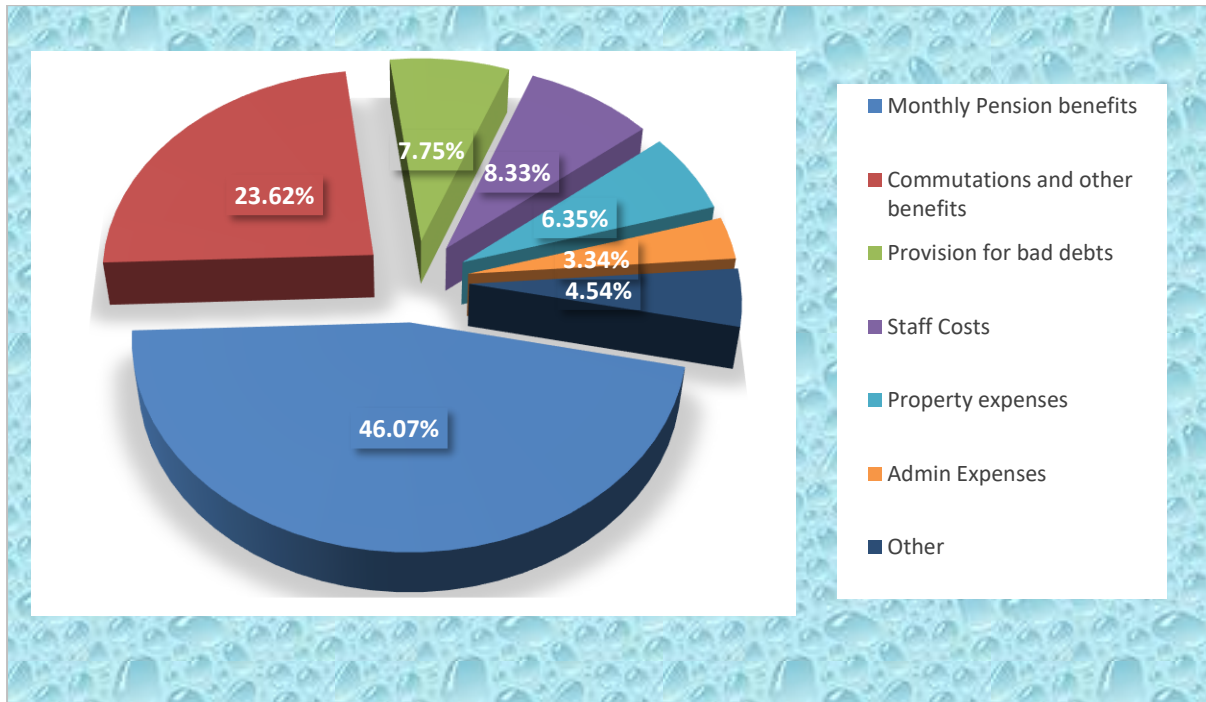


Figure 12 above indicates that member benefits accounted for 69.69% of the expenses, amounting to \$89.03 million. Of this figure, \$58.85 million was incurred in paying monthly pension benefits. This was in line with the fact that stand-alone funds had a combined 23,150 pensioners on their monthly payrolls as at 31 December 2017.

4 SECTION D: ANNEXURES

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the year ended 31 December 2017

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
Year to date Contributions (Including arrears)	151,586,141	102,309,647	120,860,098	374,755,887
Interest on contribution arrears		95,311	23,905,222	24,000,533
Fair Value Gains on equities	24,628,267	94,178,884	20,277,786	139,084,937
Dividends from investments	1,125,948	14,234,300	4,959,136	20,319,383
Rental Income	882,455	8,072,616	34,364,178	43,319,249
Interest from Investments	4,142,281	24,624,093	14,033,705	42,800,079
Transfer from other funds	994,956	19,784,635	(716,507)	20,063,085
GLA Premiums received (paid)	(5,544,817)	(1,387,529)	100,401	(6,831,945)
Profit on sale of assets		32,475,921	11,983,015	44,458,936
Other		18,999,531	1,504,471	20,504,002
Total Income	177,815,232	313,387,408	231,271,506	722,474,146
EXPENDITURE				
Benefits				
Year to date monthly pension benefits	7,450	17,763,801	58,851,468	76,622,719
Retrenchments and retirements	3,138,497	32,333,197	17,952,218	53,423,912
Full commutations paid	27,794,390	2,767,409	4,632,172	35,193,971
Withdrawals (resignations and dismissal)	33,268,715	7,271,561	1,300,317	41,840,594
Deaths	44,270	215,199	965,139	1,224,609
Group Life Assurance benefits paid	5,847,027	4,464,739	5,324,410	15,636,176
Total Benefits Paid	70,100,349	64,815,907	89,025,725	223,941,981
Deductions by NEC			11,172	11,172
Staff costs			10,640,750	10,640,750
Admin Expenses	3,321,254	6,109,863	4,271,050	13,702,167
Investment Management Expenses	2,532,852	11,163,709	808,836	14,505,397
Actuarial fees	19,268	456,573	218,838	694,679
Audit fees	36,234	591,947	189,014	817,195
Legal fees	2,100	19,661	204,198	225,959
Board Fees	-	177,988	1,638,527	1,816,516
IPEC Levies	256,319	434,142	419,688	1,110,149
Bank Charges	38,871	211,939	459,992	710,801
Sundry expenses	703,948	1,350,936		2,054,884
Subscriptions	3,206	114,033	63,333	180,572
Property Expenses	304,253	1,654,312	8,108,437	10,067,002
Fair value losses/Revaluation on investments	-	10,019	21,342	31,361
Transfer to reserves	10,292	2,430,582	196,288	2,637,162
Loss/profit on disposal of assets (specify)		1,113,380	-	1,113,380
Provision for bad debtors			9,905,590	9,905,590
Others	1,200	337,556	1,569,356	1,908,112
Total Administration Expenditure (sub-total)	7,229,796	26,176,639	38,726,413	72,132,847
TOTAL EXPENDITURE	77,330,145	90,992,546	127,752,137	296,074,828
Surplus/ (Deficit)	100,485,087	222,394,862	103,519,369	426,399,318

Annexure 2: Consolidated Industry Statement of Financial Position as at 31 December 2017

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
ASSETS				
Operating Assets				
Property			2,632,619	2,632,619
Motor vehicles			2,249,356	2,249,356
Furniture and equipment			1,005,467	1,005,467
Computer systems and equipment			1,012,216	1,012,216
Other			25,493	25,493
Total operating assets	-	-	6,925,151	6,925,151
Investment Assets (Non- Current)				
Investment Property	223,045,885	240,970,999	581,287,079	1,045,303,963
Equities - Quoted	476,566,667	719,581,164	207,827,636	1,403,975,467
- Unquoted	22,240,585	11,559,880	26,663,831	60,464,296
Prescribed Assets - Government Stock	3,556,324	36,114,840	20,906,935	60,578,100
- Other prescribed assets	2,028,292	94,778,657	32,013,136	128,820,086
Fixed interest securities e.g. private bonds	15,441	89,492	4,191,041	4,295,974
Loans and Mortgages on Property (excluding staff)	-	665,525	28,925,570	29,591,095
Staff loans and Mortgages	133,391	3,877,261	7,216,976	11,227,629
Other loans			30,078,191	30,078,191
Debentures		27,086,245		27,086,245
External Assets			85,699,242	85,699,242
Long-term deposits		23,747,185	8,101,497	31,848,682
Gauranteed Fund		27,422,180		27,422,180
Other	580,665	342,856	5,929,523	6,853,043
Total non-current investment assets	728,167,250	1,186,236,285	1,038,840,657	2,953,244,191
Investment Assets (Current)				
Prescribed Assets - Government Stock	6,299,438	1,420,439	4,310,808	12,030,685
- Other prescribed assets	76,045,155	2,303,199	4,578,586	82,926,941
Fixed interest securities	-	695,945	-	695,945
Cash at Bank	4,848,201	23,161,749	16,962,836	44,972,786
Money Market investments	68,122,330	107,107,976	41,084,151	216,314,457
Staff loans	-	9,165	937,378	946,543
Dividends and interest receivable	-	1,245,343	1,231,154	2,476,497
Other	38,140,758	6,754,568	12,687,565	57,582,892
Total current investment assets	193,455,882	142,698,384	81,792,479	417,946,745
Contribution arrears *	51,157,441	75,769,314	473,385,240	600,311,994
Rental arrears*	202,176	5,037,309	45,206,661	50,446,146
Other		75,239	1,881,950	1,957,189
Group Life Assurance contribution arrears			1,644,374	1,644,374
TOTAL ASSETS	972,982,748	1,409,816,531	1,649,676,512	4,032,475,791
LIABILITIES				
Reserves	972,731,627	1,361,051,248	1,345,328,384	3,679,111,260
Provisions	104,343	1,926,129	127,671,452	129,701,924
Deffered pension benefits	-	9,661,844	60,260,223	69,922,066
Arrear pension benefits	118,498	5,315,621	78,960,792	84,394,910
Unclaimed Benefits	-	9,870,502	18,154,672	28,025,174
Sundry Creditors	-	6,503,252	14,654,794	21,158,046
Withdrawals		9,304,742	940,308	10,245,050
Other Creditors	28,279	6,183,194	3,705,887	9,917,361
TOTAL LIABILITIES	972,982,748	1,409,816,531	1,649,676,511	4,032,475,791

**Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer
for the year ended 31 December 2017**

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
Income							
Year to date Contributions (Including arrears)	4524,026	3,286,872	8,231,379	130,899,513	1,716,413	7,447,440	151,586,141
Transfer from other funds			13,194	-		981,762	994,956
Rental Income		19,639		-	108,153	754,664	882,455
Interest from Investments		25,298		2,161,126	835,178	1,120,679	4,142,281
Dividends from investments				497,656	243,238	385,054	1,125,948
GLA Premiums received (paid)	541.48	(362,825)	419,515	(4,435,991)		(1,166,057)	(5,544,817)
Other Income - FV adjustments		224,555	226,929	10,117,963	1,830,579	12,228,241	24,628,267
Total Income	5,066	3,193,539	8,891,016	139,240,267	4,733,561	21,751,783	177,815,232
							-
Expenditure							
Benefits to members							
Year to date monthly pension benefits		7,450					7,450
Retirements, retrenchments		100,601	1,282,522		1,389,344	366,029	3,138,497
Full commutations paid		1,773,122		25,319,839		701,428	27,794,390
withdrawals			731,223	31,431,680		1,105,812	33,268,715
Deaths						44,270	44,270
Group Life Assurance benefits paid		101,990	228,944	5,389,590	126,503		5,847,027
Sub-total	-	1,983,164	2,242,689	62,141,110	1,515,847	2,217,540	70,100,349
Other Expenses							
Staff costs							-
Admin Expenses	338.43	195,820	404,766	2,516,939	118,793	84,598	3,321,254
Investment Management Expenses	9.95	7,852	19,206	755,466	731,456	498,786	2,012,777
Investment Advisory services			4,818			515,257	520,075
Actuarial fees			6,075			13,193	19,268
Audit fees						36,234	36,234
IPEC Levies		780	6,820	70,585	49,164	128,969	256,319
Bank Charges		363	330			38,178	38,871
Sundry expenses			16,727	687,221			703,948
Subscriptions i.e. ZAPF		3,026				180	3,206
Property Expenses						304,253	304,253
Transfer to reserves	4524.026		5,768				10,292
Others:					1,200		1,200
Sub-total	4,872	207,840	464,511	4,030,211	900,613	1,621,748	7,229,796
Total Expenditure	4,872	2,191,004	2,707,199	66,171,321	2,416,460	3,839,288	77,330,145
Net Income	193	1,002,536	6,183,817	73,068,946	2,317,101	17,912,495	100,485,087

Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 31 December 2017

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
ASSETS							
Investment Assets (Non- Current)							
Investment Property		5,706,654		203,338,480	1,315,751	12,685,000	223,045,885
Equities - Quoted		2,801,383	2,641,849	440,029,375	12,424,501	18,669,559	476,566,667
- Unquoted		15,476,639	-		2,299,236	4,464,710	22,240,585
Prescribed Assets - Government Stock		117,689	-		3,438,635		3,556,324
- Other prescribed assets		857,185	1,171,107		-		2,028,292
Fixed interest securities					15,441		15,441
Loans and Mortgages on Property (excluding staff)					-		-
Staff loans and Mortgages					133,391		133,391
Long-term deposits					-		-
Other non - current assets	4,543		240,813		335,308		580,665
Total Non-Current Investments	4,543	24,959,550	4,053,769	643,367,855	19,962,263	35,819,269	728,167,250
Investment Assets (Current)							
Prescribed Assets - Government Stock				6,299,438			6,299,438
- Other prescribed assets				70,426,584		5,618,572	76,045,155
Fixed interest securities							-
Cash at Bank		18,421	477,156	3,716,336		636,289	4,848,201
Money Market investments		1,564,212	127,632	37,347,509	3,711,897	25,371,079	68,122,330
Staff loans							-
Dividends and interest receivable							-
Other current assets			38,033,904			106,854	38,140,758
Total current investment assets	-	1,582,632	38,638,692	117,789,866	3,711,897	31,732,794	193,455,882
Contribution arrears *		6,086,949	1,987,785	43,082,707			51,157,441
Rental arrears*					6,317	195,859	202,176
TOTAL ASSETS	4,543	32,629,131	44,680,246	804,240,428	23,680,477	67,747,921	972,982,748
LIABILITIES							
Reserves	4,524	32,600,871	44,680,246	804,240,428	23,561,979	67,643,578	972,731,627
Provisions						104,343	104,343
Deferred pension benefits							-
Arrear pension benefits					118,498		118,498
Sundry Creditors							-
Withdrawals							-
Other Creditors	19	28,260					28,279
TOTAL LIABILITIES	4,543	32,629,131	44,680,246	804,240,428	23,680,477	67,747,921	972,982,748

Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the year ended 31 December 2017

	Capitol Insurance Brokers	Comarton Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimlat Life Assurance Company	Total
Income											
Year to date Contributions (Including arrears)	30,414.84	9,672,751.73		11,090,478.01	16,820,835.31	31,043,833.00	1,278,991.66	31,583,742.00	149,542.71	639,058.00	102,309,647.26
Interest on contribution arrears	-	36,586.56		45,720.57			13,003.91				95,311.04
Transfer from other funds	-	6,444,565.99		4,148,258.40	494,259.51	9,602,756.00	(13,003.91)	(890,955.00)	(1,245.65)		19,784,635.34
Rental Income	12,000.00	608,787.22	888.89	96,169.31	2,426,244.68	2,332,129.00		2,592,357.00	1,148.40	2,891.89	8,072,616.39
Interest from Investments		4,282,863.80	25,298.00	1,350,331.24	4,725,739.64	7,297,704.00	128,937.56	6,772,577.00	10,946.32	29,695.37	24,624,092.93
Dividends from investments		688,173.79		360,191.48	2,713,785.79	6,075,853.00	51,851.69	4,318,611.10	4,082.60	21,750.12	14,234,299.57
GLA Premiums received	16.21	627,470.47		(571,271.96)	131,590.82	12,394.00	184,675.63	(1,584,781.00)	(2,947.66)		(1,202,853.49)
GLA Premiums received (paid)							(184,675.63)				(184,675.63)
Profit on disposals investments		2,238,350.69	224,554.95		8,520,744.67	16,232,006.30		5,260,264.00			32,475,920.61
Fair value gains		3,357,068.21						89,217,506.15		1,604,309.39	94,178,883.75
Other income		8,584,295.76		253,383.40	102,428.16	7,848,786.00	131,567.33	2,079,070.00			18,999,530.65
Total Income	42,431.05	36,540,914.22	250,741.84	16,773,260.46	35,935,628.58	80,445,461.30	1,591,348.24	139,348,391.25	161,526.72	2,297,704.76	313,387,408.42
EXPENDITURE											
Benefits											
Year to date pension benefits	2,000.00	2,643,893.16		24,126.69	2,882,004.26	11,339,653.00		872,124.00			17,763,801.11
1/3 Commutations paid		1,625,572.45		7,292,948.34	7,365,722.15			16,048,954.00			32,333,196.94
2/3 commutation transferred to(from) Presevation/ther funds		502,804.93			1,195,019.41						1,697,824.34
Full/part commutations paid after 1/3 commutations		363,834.55	60,749.77			579,269.00	4,041.39			61,690.00	1,069,584.71
Other benefits (resignations, dismissals)		6,904,163.07			2,637.43				13,229.94	351,531.00	7,271,561.44
Death benefits		185,752.31		29,447.15							215,199.46
Group Life Assurance benefits paid		1,007,365.40			1,425,688.55	1,869,091.00	162,594.27				4,464,739.22
Total Benefits	2,000.00	13,233,385.87	60,749.77	7,346,522.18	12,871,071.80	13,788,013.00	166,635.66	16,921,078.00	13,229.94	413,221.00	64,815,907.22
Administrative Expenses											
Staff costs											-
Admin Expenses	2,281.11	1,200,689.36	14,400.00	436,057.77	1,011,699.39	2,142,190.00	131,567.33	1,137,411.00	9,515.67	24,051.12	6,109,862.74
Investment Management Expenses	-	412,838.07	7,852.00	286,413.24	2,183,178.86	4,922,746.00	43,378.67	3,234,116.00	5,174.66	64,812.76	11,160,510.26
Investment Advisory services	-					3,199.00	-				3,199.00
Actuarial fees	2,000.00	78,281.00		21,380.00	160,173.95	177,693.00	3,800.00	9,185.00	310.00	3,750.00	456,572.95
Audit fees	-	57,377.00		25,329.65	165,203.69	186,391.00	8,302.50	143,043.00		6,300.00	591,946.84
Legal fees	-	-		-	5,875.00	-	-	13,786.00			19,661.00
Board Fees	-	136,805.82		-	17,387.50		3,645.00	20,150.00			177,988.32
IPEC Levies		28,231.89	780.00	55,123.60	53,354.90	83,260.00		210,241.00		3,151.00	434,142.39
Bank Charges	321.00	58,812.08	362.61	6,600.19	45,633.47	83,601.00	806.35	13,941.00	1,256.15	605.02	211,938.87
Sundry expenses					225,102.65	801,877.00		321,131.00	1,265.00	1,560.00	1,350,935.65
Subscriptions		9,505.00	3,025.67	1,680.00	13,622.13	75,190.00		11,010.00			114,032.80
Property Expenses	6,013.33	94,277.81		264,298.63	246,904.95	260,049.00		782,768.00			1,654,311.72
Fair value losses/Revaluation on investments		2,129.27			5,163.73	79.00		2,647.00			10,019.00
Transfer to reserves		349.20			1,640,071.62	790,161.00		-			2,430,581.82
Loss/(profit) on disposal of assets (specify)		566,450.72			545,692.31	-			1,237.07		1,113,380.10
Others expenses		158,512.03		127,105.02	10,147.50	39,061.00		-		2,730.00	337,555.55
Total Administrative Expenditure	10,615.44	2,804,259.25	26,420.28	1,223,988.09	6,329,211.65	9,565,497.00	191,499.85	5,899,429.00	18,758.55	106,959.90	26,176,639.02
Total Expenditure	12,615.44	16,037,645.12	87,170.05	8,570,510.27	19,200,283.45	23,353,510.00	358,135.51	22,820,507.00	31,988.49	520,180.90	90,992,546.24
Surplus / (Deficit)	29,815.61	20,503,269.10	163,571.79	8,202,750.19	16,735,345.13	57,091,951.30	1,233,212.73	116,527,884.25	129,538.23	1,777,523.85	222,394,862.18

Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 31 December 2017

	Capital Insurance Brokers	Comartons Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimwata Life Assurance Company	Total
ASSETS											
Investment Assets (Non- Current)											
Investment Property	800,000.00	20,089,634.62	1,384,146.84	18,157,684.14	51,978,771.80	70,685,507.00	117,053.05	77,232,969.63	36,319.95	488,911.88	240,970,998.91
Equities - Quoted	30,118.83	56,805,507.95	884,236.67	31,438,430.43	147,231,495.51	272,823,643.00	3,610,992.12	202,132,106.51	135,390.25	4,489,242.53	719,581,163.80
- Unquoted		2,174,755.07		2,469,616.65	530,293.90	498,701.00	-	5,860,908.71	-	25,605.03	11,559,880.36
Prescribed Assets - Government Stock		3,260,967.00	125,899.68	3,458,771.27	28,162,766.44	-	747,919.62	335,167.00	23,349.38		36,114,840.39
- Other prescribed assets		6,664,183.59	73,414.00	2,036,554.84	-	43,161,042.00	260,650.33	42,582,812.67	-		94,778,657.43
Fixed interest securities		83,380.00			-				4,660.00	1,452.35	89,492.35
Loans and Mortgages on Property (excluding staff)		165,525.00			-	500,000.00					665,525.00
Staff loans and Mortgages					2,125,277.45	1,751,984.00					3,877,261.45
Guaranteed Fund					6,882,732.06	20,539,448.00					27,422,180.06
Debentures				14,047,160.02	4,531,429.89	8,418,493.00	89,161.61				27,086,244.52
Long-term deposits		13,270.55		3,858,559.37	-	19,162,163.00				713,192.00	23,747,184.92
Other non- current assets					342,855.64						342,855.64
Total non-current investment assets	830,118.83	89,257,223.78	2,467,697.19	75,466,776.72	241,785,622.69	437,540,981.00	4,825,776.73	328,143,964.52	199,719.58	5,718,403.79	1,186,236,284.83
Investment Assets (Current)											
Prescribed Assets - Government Stock		1,310,847.48			150.12				55,131.21	54,310.53	1,420,439.34
- Other prescribed assets		1,746,617.39			-				-	556,582.08	2,303,199.47
Fixed interest securities		130,641.71			565,303.16				-		695,944.87
Cash at Bank	2,502.58	1,605,736.89	2,010.15	1,330,528.56	3,740,471.13	4,101,761.00	585,073.05	10,947,403.72	8,435.24	837,826.40	23,161,748.72
Money Market investments		27,152,119.74	82,560.90	2,803,277.23	18,017,296.69	19,388,945.00	1,690,966.88	37,183,104.76	23,384.03	766,320.65	107,107,975.88
Staff loans		9,164.93			-		-				9,164.93
Dividends and interest receivable		33,581.57			855,159.30	320,907.00	-			35,694.86	1,245,342.73
Other current assets		116,685.73		2,407,506.86	201,647.90	1,362,620.00	14,569.86	2,651,538.00			6,754,568.35
Total current investment assets	2,502.58	32,105,395.44	84,571.05	6,541,312.65	23,380,028.30	25,174,233.00	2,290,609.79	50,782,046.48	86,950.48	2,250,734.52	142,698,384.30
Contribution arrears *	128,050.09	22,752,910.66	1,959,220.11	25,369,408.58	9,554,941.29	5,096,615.00		10,216,361.00	691,806.87		75,769,313.59
Rental arrears *		335,717.70			559,800.22	2,308,904.00		1,832,887.00			5,037,308.92
Other debtors						75,239.00					75,239.00
TOTAL ASSETS	960,671.50	144,451,247.58	4,511,488.35	107,377,497.95	275,280,392.50	470,195,972.00	7,116,386.52	390,975,259.00	978,476.93	7,969,138.31	1,409,816,530.64
LIABILITIES											
Reserves	805,429.73	142,212,230.63	4,511,488.35	91,674,261.29	259,905,037.82	459,710,155.74	7,116,386.52	386,240,759.72	906,359.51	7,969,138.31	1,361,051,248.62
Provisions	48,033.58	139,575.95			319,859.79	382,384.00		1,036,276.00			1,926,129.32
Deferred pension benefits					9,635,654.65	26,189.00					9,661,843.65
Arrear pension benefits	34,985.00				1,567,700.11	3,643,929.00			69,006.41		5,315,620.52
Unclaimed Benefits				9,867,390.60					3,111.01		9,870,501.61
Sundry Creditors	72,223.19	2,090,041.00		1,760,479.24	698,254.31	291,233.26		1,591,021.00			6,503,252.00
Withdrawals		9,400.00			3,153,885.82	5,266,472.00		874,984.00			9,304,741.82
Other Creditors				4,075,366.82	875,609.00			1,232,218.28			6,183,194.11
TOTAL LIABILITIES	960,671.50	144,451,247.58	4,511,488.35	107,377,497.95	275,280,392.50	470,195,972.00	7,116,386.52	390,975,259.00	978,476.93	7,969,138.31	1,409,816,530.65

Annexure 7: Consolidated Statement of Comprehensive Income for Stand Alone Pension Funds for the year ended 31 December 2017

PENSION FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	Local Authorities	Motor Industry	Mining Industry	NRZ	Pentact Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC	Zimbabwe Electricity Industry	Zesa Staff	Total
INCOME																
Year to date Contributions (including arrears)	2,264,931	1,177,726	4,027,866	6,950,875	893,498	28,355,596	5,079,175	21,930,113	9,060,579	9,162	5,133,837	1,373,108	-	22,548,357	12,055,274	120,860,098
Interest on contribution arrears	-	-	156,776	552,558	735,763	1,793,974	-	8,258,855	665,711	-	2,315,239	787,693	8,638,654	-	-	23,905,222
Transfer from other funds	-	-	-	-	-	-	(584,002)	(114,700)	-	-	-	(17,805)	-	-	-	(716,507)
Rental Income (including arrears and interest on arrears)	784,329	1,103,691	995,371	4,374,512	59,295	6,761,621	824,165	4,399,818	11,995,702	-	98,513	313,803	229,160	920,337	1,563,861	34,364,178
Interest from Investments	152,082	1,558,771	458,983	525,904	28,342	196,359	1,172,686	1,143,350	3,132,893	65,989	17,104	635,391	31,024	4,017,808	837,683	13,974,369
Dividends from investments	245,319	22,421	125,099	116,578	662	902,944	369,170	2,064,472	587,830	232	247	182,887	-	106,846	234,429	4,959,136
Profit on sale of shares	98,573	-	-	-	-	-	-	-	-	-	-	-	-	-	-	98,573
GLA Premiums received (paid)	-	-	-	-	153,959	-	(20,649)	(31,892)	-	(1,018)	-	-	-	-	-	100,401
Other Income (unrealised profit)	-	31,959	4,650,531	2,167,226	-	1,506,355	11,921,715	-	-	-	-	-	-	-	-	20,277,786
Other Income (profit on disposals)	-	-	-	-	-	-	1,444,031	-	10,278,854	-	-	161,557	-	-	-	11,884,442
Other Income (Guaranteed Fund Bonus)	-	-	-	-	-	-	59,336	-	-	-	-	-	-	-	-	59,336
Other Income	1,550	33,201	-	-	12,487	-	580,212	856,678	-	267	-	9,784	10,293	-	-	1,504,471
TOTAL INCOME	3,546,784	3,927,770	10,354,626	14,687,653	1,884,006	39,516,849	20,845,839	38,506,694	35,721,569	74,632	7,564,940	2,658,725	1,058,170	36,232,002	14,691,247	231,271,506
EXPENDITURE																
Benefits Paid																
Year to date monthly pension benefits	692,276	-	128,946	6,382,269	39,129	15,252,522	92,341	8,860,328	17,529,128	-	171,953	365,299	132,860	523,518	8,680,898	58,851,468
Retrenchments and retirements	101,604	-	917,362	1,592,717	-	7,615,896	454,805	944,934	2,461,218	-	286,116	35,910	-	1,399,410	2,142,246	17,952,218
Full commutations paid	-	580,882	-	-	-	2,121,370	1,058,912	-	-	-	331,715	173,211	-	-	-	4,266,089
Part commutations after 1/3	-	-	-	-	23,937	-	-	342,146	-	-	-	-	-	-	-	366,083
Death benefit	-	-	104,088	152,935	-	-	154,878	350,650	202,588	-	-	-	-	-	-	965,139
Other Benefits e.g. Withdrawals (resignations and dismissals)	-	-	5,313	560,676	-	-	1,076	-	588,874	-	-	144,328	51	-	-	1,300,317
Group Life Assurance benefits paid	9,987	15,710	-	-	109,623	-	309,729	4,866,241	-	-	13,119	-	-	-	-	5,324,410
Total Benefits Paid	803,867	596,592	1,155,709	8,688,597	172,689	24,989,788	2,071,741	15,364,300	20,781,808	-	802,903	718,748	132,911	1,922,928	10,823,144	89,025,725
Deductions by NEC																
Staff costs	317,292	424,868	796,377	692,323	326,018	1,168,323	688,250	2,680,210	1,345,818	-	935,259	-	-	858,915	407,098	10,640,750
Admin Expenses	486,944	118,459	438,398	283,332	167,261	430,987	306,132	380,460	493,171	-	608,586	-	1,485	472,271.00	83,563	4,271,050
Investment Management Expenses	29,125	10,901	63,228	-	-	6,060	254,546	128,960	213,904	-	-	102,023	90	-	-	808,836
Actuarial fees	24,980	6,500	35,320	-	4,600	27,760	8,400	12,000	43,250	-	2,300	13,620	-	21,008.00	19,100	218,838
Audit fees	16,800	9,189	3,936	-	4,125	-	18,065	51,923	43,226	-	7,598	8,223	4,500	15,860.00	5,570	189,014
Legal fees	8,447	44,998	3,895	16,498	7,219	100,198	9,369	(13,516)	18,250	-	-	-	-	4,340.00	4,500	204,198
Board expenses	23,482	9,456	100,831	66,248	57,688	236,035	90,790	96,114	267,252	-	506,456	-	-	120,073.00	64,102	1,638,527
IPEC Levies	20,270	13,519	24,801	16,247	20,383	71,148	39,212	49,341	90,024	267	29,073	25,567	1,500	7,065.00	11,272	419,688
Bank Charges	7,307	7,231	10,099	24,766	6,079	33,089	10,146	121,527	157,203	-	2,858	369	430	24,943.00	53,945	459,992
Subscriptions	1,500	2,129	9,284	4,671	880	1,680	9,463	21,817	5,210	-	1,680	1,680	780	1,680.00	880	63,333
Property Expenses	421,888	249,954	237,515	534,545	3,629	-	8,669	2,392,142	3,398,990	-	57,231	7,997	30,159	327,872.00	437,846	8,108,437
Revaluation Expenses	6,888	-	-	-	4,500	-	7,954	-	-	-	2,000	-	-	-	-	21,342
Transfer to reserves	-	196,288	-	-	-	-	-	-	-	-	-	-	-	-	-	196,288
Loss/profit on disposal of assets (specify)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision for bad debts	-	-	-	-	-	-	-	9,905,590	-	-	-	-	-	-	-	9,905,590
Other expenses:1)Specify	-	-	-	1,501,371	-	36,694	-	-	-	-	-	31,291	-	-	-	1,569,356
Total Fund Administration expenses	1,358,035	1,100,380	1,733,128	3,140,001	602,382	2,111,974	1,450,996	15,826,567	6,078,025	267	2,153,041	190,770	38,944	1,854,027	1,087,876	38,726,413
TOTAL EXPENDITURE	2,161,902	1,696,972	2,888,837	11,828,598	775,071	27,101,762	3,522,737	31,190,867	26,859,833	267	2,955,944	909,518	171,855	3,776,955	11,911,020	127,752,137
SURPLUS/(DEFICIT)	1,384,882	2,230,799	7,465,789	2,859,055	1,108,935	12,415,087	17,323,102	7,315,827	8,861,736	74,365	4,608,996	1,749,207	886,315	32,455,047	2,780,227	103,519,369

Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 31 December 2017

FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	Local Authorities	Mining Industry	Motor Industry	NRZ	Pentact Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC	Zimbabwe Electricity Industry	Zesa Staff	Total
ASSETS																
Operating Assets																
Property	238,619				600,000						220,000		1,574,000			2,632,619
Motor vehicles	165,979	16,987	32,038	542,613	18,699	208,486	616,470	126,073	269,082		94,220			158,709		2,249,356
Furniture and equipment	88,071	34,981	51,678	57,080		31,923	67,681	54,792						619,261		1,005,467
Computer systems and equipment	312,072		168,697	145,565	5,122	47,775	116,135	55,220	119,103		10,442		80	32,006		1,012,216
Other operating assets					1,368				24,125							25,493
Total operating assets	804,741	51,968	252,413	745,258	625,189	288,184	800,286	236,085	412,309	-	324,662	-	1,574,080	809,976	-	6,925,151
Investment Assets (Non- Current)																
Investment Property	9,180,033	11,245,580	19,027,858	87,015,000	8,825,000	48,472,983	89,198,015	12,900,465	216,680,869		7,202,691	4,990,201	1,536,004	45,472,238	19,540,142	581,287,079
Equities - Quoted	5,078,110	2,393,935	6,213,919	9,942,252	772	17,349,640	116,652,706	19,186,677	13,674,213	12,334	16,893	9,582,866	257,197	2,949,803	4,516,319	207,827,636
- Unquoted				10,480,968		9,353,743	6,451,805		173,274					4,052	199,989	26,663,831
Prescribed Assets - Government Stock	1,366,330					327,100	2,954,433	2,066,429	415,217			1,444,434		7,333,709	4,999,283	20,906,835
- Other prescribed assets		410,626	1,131,087	8,503,320				4,291,421	8,904,211		195,463	1,653,834		6,923,174		32,013,136
Fixed interest securities e.g. private bonds				1,124,186			2,800,000		124,065			42,790	100,000			4,191,041
Loans and Mortgages on Property (excluding staff)					540,438				3,517,551					24,867,581		28,925,570
Staff loans and Mortgages			467,088	5,918,782				68,372	503,150		259,584					7,216,976
Other loans			180,649						29,897,542							30,078,191
External Assets									85,699,242							85,699,242
Shares in property company																-
Other (Loans to employer)																-
Long-term deposits								4,915,087		292,181		2,894,229				8,101,497
Other non-current assets		1,823,737				497,359	2,916,115	120,430						571,882		5,929,523
Total non-current investment assets	15,624,473	15,873,878	27,020,601	122,984,508	9,366,210	76,000,825	220,973,074	43,548,882	359,589,333	304,515	7,674,631	20,608,354	1,893,201	88,122,439	29,255,733	1,038,840,657
Investment Assets (Current)																
Prescribed Assets - Government Stock							1,074,261	147,216	3,020,000		69,331			-		4,310,808
- Other prescribed assets								592,329			112,257			3,874,000		4,578,586
Fixed interest securities														-		-
Cash at Bank	851,461	17,012	296,665	346,446	872,206	1,745,053	1,517,674	1,112,480	5,550,284		70,461	156,028	14,250	2,648,057	1,764,759	16,962,836
Money Market investments	34,237	1,963,667	630,811	3,399,350	309,444		3,993,254	7,384,353	2,204,664		-	6,123,804	320,568	12,800,000	1,920,000	41,084,151
Staff loans	-	738		160,615			333,202	17,531	5,342		256,438			163,512		937,378
Dividends and interest receivable		27,397		433,180		85,882	326,136	18,360	150,000		17,352	118,458		54,390		1,231,154
Other current assets	247,728		5,514,982	26,385	69,108	48,832	44,224	83,662	386,884					6,265,761		12,687,565
Total current investment assets	1,133,426	2,008,814	6,442,458	4,365,976	1,250,758	1,879,767	7,288,752	9,355,931	11,317,172	-	525,839	6,398,290	334,818	25,805,720	3,684,759	81,792,479
Contribution arrears *	2,859,285	1,724,667	580,396	35,753,088	6,354,832	188,955,636	109,317,981	5,039,480	12,434,638		27,721,128		3,629,851	69,730,169	9,284,088	473,385,240
Rental arrears*	219,757	900,404	378,130	10,136,723	18,650	10,365,197	7,852,662	16,894	13,175,496		104,142	21,444	241,822	121,009	1,654,331	45,206,661
Other debtors			621,853				841,908	163,542				250,019	4,628			1,881,950
Group Life Assurance contribution arrears					1,644,374											1,644,374
TOTAL ASSETS	20,641,682	20,559,730	35,295,851	173,985,553	19,260,013	277,489,610	347,074,663	58,360,813	396,928,949	304,515	36,350,402	27,278,107	7,678,400	184,589,313	43,878,911	1,649,676,512
LIABILITIES																
Reserves	20,366,095	13,769,944	34,853,379	170,063,600	3,162,647	218,557,146	146,395,485	56,824,863	389,554,701	302,670	36,060,577	27,181,008	3,411,471	182,460,726	42,364,072	1,345,328,383
Provisions	71,518	34,545		95,008	7,175,498	71,485	115,374,371		1,900,516				2,948,511			127,671,452
Deferred pension benefits		552,918		3,060,978	392,131		56,254,196									60,260,223
Arrear pension benefits				6,216,834		57,254,274	14,014,964		864,596		31,100	579,023				78,960,792
Unclaimed Benefits		2,836,686	142,669	81,821	-		9,524,844	746,759	4,609,136				212,757			18,154,672
Sundry Creditors	65,606	153,646	176,617	684,146	1,907,070	1,606,704	5,510,803	594,577		1,845	278,590	30,583	1,180	2,128,587	1,514,839	14,654,794
Withdrawals		208,473			405,833			194,614				35,416	95,972			940,308
Other liabilities	138,463	3,003,517	123,186								11,235		429,486			3,705,887
TOTAL LIABILITIES	20,641,682	20,559,730	35,295,851	173,985,553	19,260,013	277,489,609	347,074,663	58,360,813	396,928,949	304,515	36,350,402	27,278,107	7,678,401	184,589,313	43,878,911	1,649,676,512